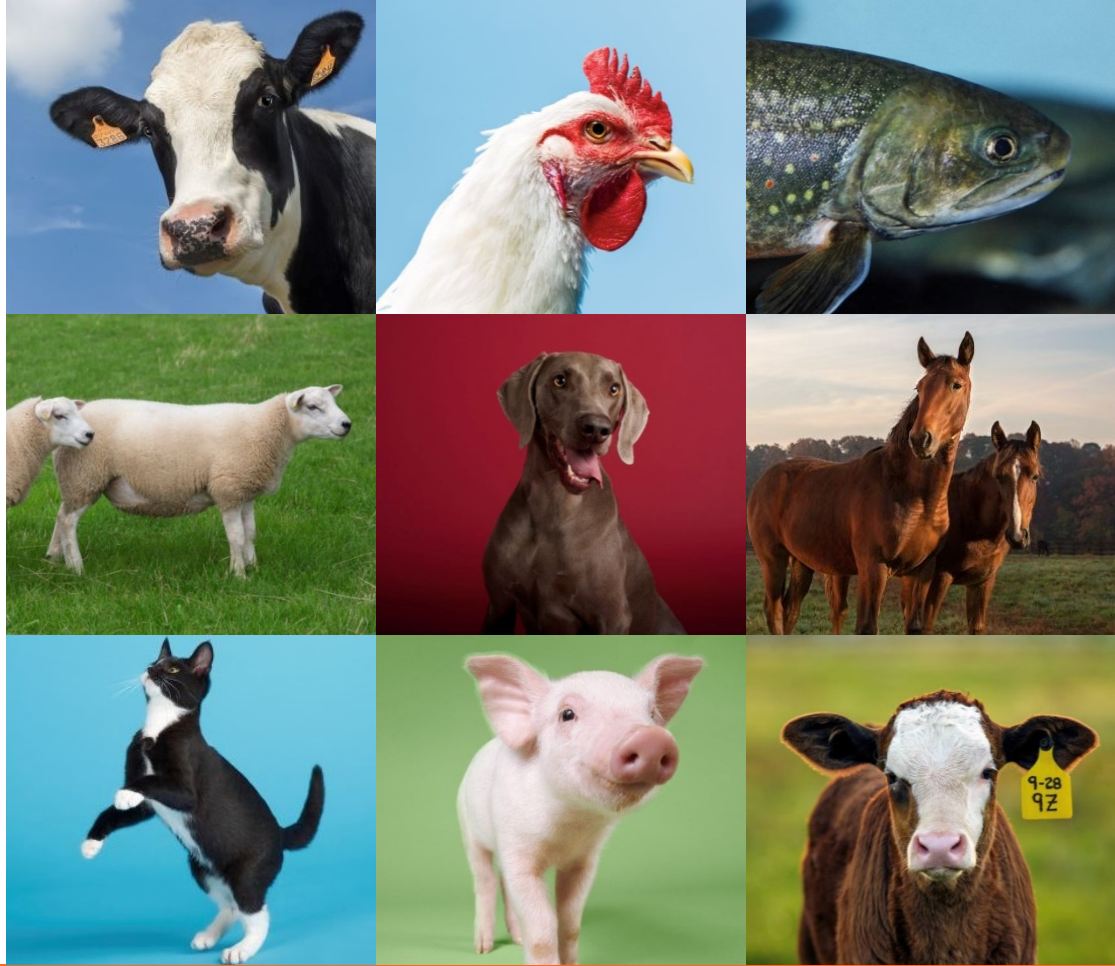


FIRST QUARTER 2021 FINANCIAL RESULTS

May 6, 2021



FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects; future operating or financial performance, future guidance, future operating models; expectations regarding products, product approvals or products under development; expected timing of product launches; the impact of the coronavirus (COVID-19) pandemic and any recovery therefrom on our business, suppliers, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions; future use of cash and dividend payments; tax rates and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2020, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the coronavirus (COVID-19) pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by U.S. generally accepted accounting principles (GAAP), such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

KRISTIN PECK

CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

STRONG GLOBAL GROWTH TO START 2021

- Generated 21% operational¹ revenue growth and 34% operational¹ increase in adjusted net income², with significant growth in both companion animal and livestock
- Companion animal product sales led the way with 34% operational revenue growth, as our parasiticide portfolio continued to gain market share, driven by strong first quarter sales of Simparica Trio
- Livestock grew 8% operationally in the quarter, led by sales of our Cattle, Swine and Fish products
- Receiving positive customer feedback in the European Union on the early experience programs for Librela, our monoclonal antibody for alleviation of osteoarthritis pain in dogs

IMPROVED GUIDANCE FOR 2021

- Increased full year 2021 estimates for revenue and adjusted net income
 - Revenue increased to \$7.500B and \$7.625B, with operational¹ growth of 10.5% to 12%
 - Adjusted net income increased to \$2.120B and \$2.160B, with operational¹ growth of 12% to 14%
- Guidance reflects better than expected Q1 results, and confidence that the diversity and durability of our portfolio, along with innovation, will continue to drive growth

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2021*	2020*	Change
Revenue	\$1,871	\$1,534	22%
Reported Net Income	559	423	32%
Reported Diluted Earnings Per Share	\$1.17	\$0.88	33%
Adjusted Net Income ¹	603	455	33%
Adjusted Diluted Earnings Per Share ^{1,2}	\$1.26	\$0.95	33%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Adjusted diluted earnings per share increase of 33% includes 1% unfavorable foreign exchange impact, and operational growth of 34%.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	First Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,871	\$1,534	22%	1%	21%
Adjusted Cost of Sales ²	543	455	19%	3%	16%
<i>as a percent of revenue³</i>	29.0%	29.7%	NA	NA	NA
Adjusted SG&A Expenses ²	401	369	9%	1%	8%
Adjusted R&D Expenses ²	118	107	10%	1%	9%
Adjusted Operating Expenses ⁴	525	482	9%	1%	8%
Effective Tax Rate on Adjusted Income ²	19.1%	16.8%	NA	NA	NA
Adjusted Net Income ²	603	455	33%	(1)%	34%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³Adjusted gross margin (a non-GAAP financial measure) was 71.0% in the first quarter of 2021 and 70.3% in the first quarter of 2020.

⁴Adjusted operating expenses (a non-GAAP financial measure) of \$525 million in the first quarter of 2021, and \$482 million in the first quarter of 2020 include adjusted amortization of intangible assets of \$6 million.

US SEGMENT PERFORMANCE

	First Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$933	\$786	19%	—%	19%
Companion Animal	658	499	32%	—%	32%
Livestock	275	287	(4)%	—%	(4)%
Cost of Sales	184	167	10%	—%	10%
Gross Profit	749	619	21%	—%	21%
<i>Gross Margin</i>	<i>80.3%</i>	<i>78.8%</i>	<i>NA</i>	<i>NA</i>	<i>NA</i>
Operating Expenses	131	125	5%	—%	5%
Other (Income)/Deductions	1	1	**	**	**
Earnings ²	617	493	25%	—%	25%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

8 ²Defined as income before provision for taxes on income.



INTERNATIONAL SEGMENT PERFORMANCE

	First Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Revenue	\$922	\$728	27%	2%	25%
Companion Animal	418	298	40%	3%	37%
Livestock	504	430	17%	—%	17%
Cost of Sales	282	224	26%	—%	26%
Gross Profit	640	504	27%	2%	25%
<i>Gross Margin</i>	69.4%	69.2%	NA	NA	NA
Operating Expenses	130	125	4%	3%	1%
Other (Income)/Deductions	—	—	**	**	**
Earnings ²	510	379	35%	3%	32%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.

INTERNATIONAL MARKET REVENUE

	First Quarter				
	2021*	2020*	Change	Foreign Exchange	Operational ¹
Total International	922.3	728.4	27%	2%	25%
Australia	57.1	43.3	32%	15%	17%
Brazil	73.6	62.8	17%	(31)%	48%
Canada	46.1	40.1	15%	4%	11%
Chile	34.0	23.0	48%	5%	43%
China	123.2	65.7	88%	13%	75%
France	34.9	29.0	20%	11%	9%
Germany	38.4	33.5	15%	11%	4%
Italy	25.1	21.5	17%	11%	6%
Japan	46.7	41.5	13%	6%	7%
Mexico	33.2	32.2	3%	(6)%	9%
Spain	31.2	28.1	11%	10%	1%
United Kingdom	69.1	55.1	25%	5%	20%
Other Developed Markets	111.2	86.7	28%	10%	18%
Other Emerging Markets	198.5	165.9	20%	(6)%	26%

* Millions of dollars

10 ¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	Full Year 2021
Revenue <i>Operational growth</i> ¹	\$7,500 to \$7,625 10.5% to 12%
Adjusted cost of sales as a percentage of revenue ²	Approximately 30%
Adjusted SG&A expenses ²	\$1,820 to \$1,870
Adjusted R&D expenses ²	\$500 to \$520
Adjusted interest expense and other (income)/deductions-net ²	Approximately \$260
Effective tax rate on adjusted income ²	19% - 20%
Adjusted diluted EPS ²	\$4.42 to \$4.51
Adjusted net income ² <i>Operational growth</i> ^{1,3}	\$2,120 to \$2,160 12% to 14%
Certain significant items and acquisition-related costs ⁴	\$15 - \$25
Reported diluted EPS	\$4.08 to \$4.19

The guidance reflects the current view of the estimated full year impact of the COVID-19 outbreak, recessionary conditions in the global economy and foreign exchange currency as of late April 2021.

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions-net are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to acquisitions and other charges.

Q&A

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